Preparing For 2027 Inflection in Global Liquidity | Michael Howellâ€™s Bull Case For Bonds and Tepid View of Liquidity-Sensitive Assets

Podcast: Monetary matters

AI Executive Summary

1. Core Thesis: Michael Howell posits that the global liquidity cycle has reached its peak in late 2025 and is entering a downward phase driven by the consumption of capital by capital-intensive sectors like AI data centers, which drain liquidity rather than create it. He warns of an approaching "turbulence phase" beginning around 2027 where refinancing pressures on existing debt will intensify, causing a shift in market dynamics toward defensive assets and long-duration government bonds. The Federal Reserve is pivoting from traditional quantitative easing to a managed framework focused on stabilizing money markets through Reserve Management Purchases (RMP), while the Treasury utilizes short-term bill issuance to inject liquidity ("Treasury QE") into the real economy, fundamentally altering asset valuations and market volatility risks.

2. Key Arguments & Data:

3. **Liquidity Cycle Peak:** Liquidity growth in financial markets peaked in late 2025 after a sustained three-year run. A sharp slowdown is expected, with liquidity hitting its bottom by late 2027.
4. **AI Capital Consumption:** The AI buildout consumes trillions in capital for data centers and chips (estimated near $1 trillion financing demands). This is cyclical capital intensity rather than sustainable growth, leading to a debt load that increases the burden on financial systems.
5. **Debt Maturity Wall:** A significant wall of existing debt maturing at high interest rates exists. The refinancing cycle shifts from 80% cash-flow based (pre-pandemic) to 80% market-financed, creating tension as trillions are rolled over annually.
6. **Debt-to-Liquidity Ratio:** The equilibrium ratio for major advanced economies is approximately 2x. Ratios above this level cause refinancing crises and tension; ratios below this (as seen post-2020) fueled asset bubbles. Current system dynamics are shifting toward higher debt relative to liquidity.

7. **Fed Reserve Management Policy:** The Fed moved away from abundant reserve QE to a "managed framework" targeting bank reserves at approximately $3 trillion. This reduced deviations from the target from an average of $300 billion (2021-24) to under $90 billion recently, indicating close liquidity management to prevent market slumps.
8. **Treasury QE Dominance:** The Fed's traditional QE impact is becoming negligible compared to "Treasury QE." The Treasury drives liquidity by issuing short-term debt (bills) rather than long-term notes, increasing the private sector asset-to-duration ratio and creating an impulse for nominal growth in GDP.

9. **Market Forecast:** Equity volatility is expected to rise in a fourth phase of turbulence. Defensive stocks (Healthcare, Energy) will outperform; speculative returns will suffer high quality issues. Bitcoin is predicted to retest $70,000 alongside the liquidity bottoming by late 2027.

10. Actionable Takeaways:

11. **Shift to Defensive Assets:** Move capital from growth-heavy equities toward defensive sectors and long-duration government bonds, as volatility increases during the liquidity downturn.
12. **Prepare for 2027 Liquidity Squeeze:** Position portfolios to anticipate lower liquidity flows starting late 2025/2026, which will impact market valuations. Prepare for a potential bottom in Bitcoin at $70,000 as part of the broader cycle correction.
13. **Monitor Repo and Yield Markets:** Track SOFA spreads (overnight repo rate vs collateralized rates) and Treasury yield volatility (Move Index/VIX equivalent) as leading indicators of systemic stress.
14. **Reduce Debt Risk:** Be aware that refinancing existing debt at higher rates is a primary driver of current financial tension; avoid over-leveraging capital-intensive projects in the face of cyclical slowdowns.
15. **Understand Fed Mechanics:** Recognize that Fed policy now focuses on managing bank reserves and volatility rather than simply expanding balance sheets, which limits aggressive rate tightening but does not eliminate liquidity constraints.

Full Transcript

The AI buildout is draining liquidity and Michael Howell says the global liquidity cycle has turned. He's calling for a sharp slowdown in 2027 for Bitcoin to retest 70,000 for bonds to beat stocks and a bottom in liquidity by late 2027. Monetary Matters viewers get 20% off an annual subscription to Michael Howell's Capital Wars sub-stack. Link in the description. First, a word from today's sponsor. This episode is brought to you by Sarmaya Partners, who manages the Return to Tangibles ETF Lens, ticker L-E-N-S, the Sarmaya Thematics ETF, built for Return to Tangibles. Learn more at SarmayaETF.com and see the show notes for disclosures. Let's get into it. I'm joined once again by the liquidity godfather Michael Howell of the Capital Wars Substack. Michael, great to see you.

Always a pleasure to be here. How are you thinking about markets right now? Just had the Fed meeting some balance sheet announcements, but how are you measuring liquidity across the various indices that you look at central bank liquidity cross border private sector the rest and then its implications for asset markets? Just give us a broad view to start out with. Well, I think the broad picture is that the liquidity cycle is going down. I mean that that's for sure Pete in late 2025. That was after an upward run of pretty much three years. So it's inflated downwards. And the important thing to say is that this is really measuring the growth of liquidity into financial markets. So it's not looking at the level. The level is still relatively high. But what we're seeing is a very clear slowdown. And I would contend that those features are becoming more apparent in markets. And the backdrop is that we're moving through the investment phases we've just come through that may be ended the phase that we tend to describe as speculative. And that's really been going on for almost a year now. And that phase is really saying that it's kind of late cycle. You can still make money in markets, but the volatility is high. So the quality of those returns is pretty poor. And really underneath, you've got a lot of mixed performance. So I think we've seen that really across many of the indexes. I mean, the Russell 2000 looks like isn't a bear market.

You're seeing a lot of defensive stocks really outperforming now. So things like healthcare, energy has clearly been on a roll through most of this year. Again, all sort of late cycle features. And we're moving into, let's say the fourth phase, which is basically saying this is a turbulence phase, where things get worse, where liquidity gets crimped more. And it becomes more of a struggle for people to make money. And you really want more defensiveness and particularly a longer duration government bonds, which kind of flies in the face of many press headlines over the recent month. But nonetheless, that's what the data tell us. I think you've got to put that in the context of yesterday's Fed meeting as well. I mean, what is the Fed?

I'm really trying to do it all this. So in terms of liquidity, the vast sums that AI is consuming of capital to invest in data centers and chips that sounds positive and it is for the data center build out. But the point I guess for our purposes here is that that is a consumer of liquidity. It is not a producer of liquidity. Yeah. I mean, that's a plain fact. So I think if you look at. previous booms with what you might call transformative technologies, while they're clearly fantastic over the long term and they're really world changing. The fact is they typically end in recessions or financial crises. And we've seen that so often in the past. And I think the question is to dig down as to why that is, why that is the case. And I think the first thing to say is that, you know, as far as I can see, every capital intensive industry is basically cyclical at the end of the day. And that's what we've got to remember. But the trouble is that most investors are most proponents of AI or SI or whatever you want to call it. Basically, see this as a long-term trend, not as a cycle. The fact is that capital intensive industries, period, are cyclical. That's the reality we've got to face. Go back to fiber optic cable back 20 years ago. I mean, that was seen as a huge boom, but it turned out to be remarkably cyclical with some of the major leading companies in chapter 11 within five years. So I think you've got that warning. And then the other thing is you highlight these things have got to be financed.

And the sort of numbers that are being crunched for the debt is basically eye-watering. We're talking maybe not quite at a trillion dollars, but we're getting pretty close to a trillion dollars both this year and next year in terms of the financing demands. Now, if you go back probably not 12 months, or maybe even 18 months, the story was very much 80-20 in terms of saying

80% of the funding for the ART Buildout will become out of cash flow. Now, it seems to be very much the other way. It's flipped. And 20% is cash flow, and maybe 80% is actually coming out of the markets. And we've spoken about the debt load. I mean, the debt load is clearly big, but then there's an equity parallel, which is coming in pretty close behind. So there's a lot of financing demands ready to come out. And it's that question, which I think we've got to tackle. Is there the capacity in the markets ready to deal with that? And you've got not just this new financing demand coming through on US capital markets, But you've also got the echo effect of the thing called the debt maturity wall, which is really the echo from the COVID years when a lot of debt was termed out when policymakers recklessly pushed interest rates down to near zero levels, and in cases below zero, encouraging borrowers to take on not only more debt, but to term out existing debt. A lot of that debt is coming back into the system to be refinanced at higher rates, one would add.

In the next few years so the debt pile is really growing if you look if you evidence this chart this chart is basically showing the debt maturity wall. Bear in mind this is not new debt this is existing debt that is being refinanced and the whole you know essence of the problem we face in financial markets is the financial markets are no longer purely new capital raising mechanisms that predominantly. mechanisms for rolling over existing debt, their refinancing systems. And what the chart basically shows is the annual increments worldwide for the advanced economies of how much this refinancing wall grows or shrinks year by year. And you can see what I've highlighted there is that the GFC and the COVID crisis were basically big years for debt rollovers. And those were clearly causing a lot of tensions. And policymakers responded in both cases.

And they added liquidity to the system when you got these refinancing problems. But if you look at the red bars that I put in there for the 26th through 2030 period, and again, I stress once more, this is not new debt. This is existing debt that's coming back into the system to refinance. And the reason it looks, you know, worrisome is that first of all, you've got to recognize But that really offsets the negative years in 21-22 and the low years in 23-24 when you had debt being termed out with low interest rates. So that's coming back into the system now. And the other thing is it's

coming back at much higher interest rates. So what you've got is the debt burden is growing all the time. And that's what you see in this chart. So it's not just the new debt, which I put in the annotation, but you've also got to think about 2 trillion per annum of new federal debt.

And you've got potentially a trillion per annum of hyperscalar debt. So these are big, big numbers. And so a positive on this indicates a large amount of borrowing and refinancing. And I guess a negative means a reduction in the debt stock. So more debt is being paid back than is being borrowed. Would that be correct? Yeah. In other words, the debt role is negative. So in other words, what's happened is that debt has been termed out. So basically it's been replaced. And therefore for the next few years, you get a very low number in terms of the debt roll. And I guess one single stock or two stock analysis for this is like S&Ps and Moody's, which is our credit rating businesses. I see this chart or version of this on their investor decks, because they're basically the advertising to investors, hey, all this debt has to be refinanced. So we're going to be paid to rate it. So I guess that is a bull case for a very small segment of the market.

But what are the broad implications of this fact that all this debt has to be refinanced over the next five to six years? Well, I mean, the question is, is there the liquidity to do it? And the point being is that what we come back to at the end of the day is that if you look at the liquidity cycle, which is basically the flow of money through financial markets. Now, the point about that, as I've already suggested, is that that cycle is turning down. It peaked in late 2025. Essentially a debt refinancing cycle. And that's what's really driving the tempo of the fluctuations. So the cycle tends to be between five and six years in terms of length, which is the average maturity of global debt. So that sort of fits into this whole refinancing frame. And if you've got declining liquidity, what you tend to find is increasing tensions in refinancing markets. This particular slide is the essence of the problem.

And the problem is that the financial system that has evolved principally since the GFC, although it was evolving before, but the GFC accelerated developments, is that what you've got at the heart of the global monetary system or global financial system is this debt liquidity nexus. And the point being is that debt needs liquidity to roll itself over, in other words, for

refinancing because of this term issue. And liquidity needs debt. for the simple reason that liquidity is collateral based now. And as you see in the top left, according to the World Bank, 77% of all global lending is now collateral backed. And all of that collateral backing is existing debt. A lot of it government debt, a lot of it US Treasuries, but that clearly is important. So you can see that this particular nexus can spin out of control if you get an inability to turn debt into liquidity or an inability to refinance debt with new liquidity. And you get tensions in the repo collateral markets on the left, which you can spot by looking at the move index or SOFA spreads, or you get problems in refinancing, the refinancing leg, where you start to see credit spreads blowing out and term premium beginning to drop, term premium being the risk premium on government debt, essentially. And I would argue that you're beginning to see those cracks emerging.

Now, if you look at the longer term picture, what you find is that this is the ratio of debt to liquidity for the major advanced economies. And this is basically saying, when you have a harmony or an equilibrium at about two times debt to liquidity, anything significantly above that causes refinancing problems, which I've annotated there in terms of the various financial crises that you've seen before. I would venture that all financial crises that we've witnessed over that period have been predominantly refinancing crises and inability to roll debt with liquidity in some form. And then when you go to the other side of that boundary, in other words, below the dotted line, what you find there is that you've got too much liquidity relative to debt, in other words, there's surplus cash. And the vent for that tends to be asset market bubbles.

What we've just come through is this huge asset market bubble because there's been ample liquidity in the system for various reasons. Now, what I've done here is to basically try and put that debt liquidity ratio into a cyclical context. And this is maybe slightly heroic, but it's trying to say, well, OK, if you fit a sign wave to that data, is there any sense in that? And it seems that you get something like a 16-year cycle. in this debt liquidity ratio. I mean, that may be, as I say, a big step. But nonetheless, it seems to fit the data quite well. And you've got these very prominent bubbles and these very prominent crises that I've identified. And maybe what we're swinging from is the everything bubble towards the everything bust. So

what one's going to look at very closely is the capacity of the financial system to facilitate debt rollover in particular.

I mean, the burden that we're carrying on our shoulders of all this debt, you know, clearly has a cost at some stage. And that cost is not necessarily just higher interest rates. The cost is actually financial functioning or economic functioning. And that's the danger we're basically running into. And it may be to sort of to have a segue ultimately into what the Fed is doing is maybe what the Fed is suggesting in really between the lines. So Michael, this Change from debt to liquidity ratio. It was an extremely extremely small ratio in 2020 meaning that liquidity was very abundant relative to the debt since then There's been more debt relative to the liquidity as assets have been issued and refinanced and The Federal Reserve has shrunk its balance sheet and other things we can get into but it still is below the dotted line which I guess would be average so my question to you is what are the consequences when liquidity and the debt to liquidity ratio it goes from ample liquidity to just slightly less ample liquidity because when people hear from everything bubble to everything bust they might think that we're you know on the other side of the chart this 240% of refinancing tension, but I don't think this chart shows that we're quite there yet You're just projecting that in you know four to five years if we're on this thing then it will go on the other line of the chart Just can you speak to just kind of these slow-moving tensions and where we are right now?

Yeah, absolutely. I mean, you've got to ally that with this observation about liquidity, but the liquidity cycle is going down. And the important thing I think to stress here is that liquidity is cyclical and debt is exponential. So you can see why there are always refinancing tensions in the system. One of the reasons that liquidity or perhaps the main reason that liquidity is going down is not because central banks are tightening particularly. And I think all the evidence tells us that central banks don't want to tighten. I mean, they're very, very reluctant. They're being sort of pulled, kicking and screaming by the markets to try and tighten. Austerity is not the sort of watchword here. And what they want to do is basically keep the plates spinning as best they can. As I remember my former boss, Henry Kaufman from Salomon Brothers, said a few years ago, that in fact, three or four years ago, when the Federal Reserve came up with the word transitory from inflation.

But I think it's a very good summary of the last five years. He said this is clearly a Federal Reserve that doesn't want to tighten. And I think the evidence is that you've got so much debt out there that it's very, very dangerous for policymakers to even think about tightening aggressively again. Michael, is it just my eyes playing tricks on me? Or do I actually see a small little upsurge, just a tiny little blip of that black line indicating that the GLI, the global liquidity index, maybe has bottomed this year and that it has gone up? Well, I think that's an interesting observation. And I think if you drill into the data and you find out what is causing that blip, the answer is predominantly what the Federal Reserve was doing last month. And the Federal Reserve has basically added more liquidity to the system. And my read of what the Fed is doing is that they're managing liquidity very closely. And they don't want to engineer a major slump in liquidity markets. And that's why I think one's got a look beyond fed funds and fed presser and all this sort of the ridiculous pantomime that goes around it and actually try to understand more deeply what the Federal Reserve and I would also add the Treasury as well are actually doing to try and manage liquidity conditions in the system. I think that's what their main focus really is. They want to maintain the integrity of the funding markets and that's key.

What has the Fed and the Treasury as well, what have they done this year? Tell us and then also tell us your projection for what could be coming in the future, especially based on the October Fed meeting, which did contain a note about the balance sheet. We'll get into that. Yeah. So if you look at this chart, this is one of the charts that I noted at the beginning is well worth monitoring. And this is looking at imbalances in the repo markets. And what we're looking at here is the SOFA, which is the overnight repo rate minus interest and overnight reserve balances for banks. Take the latter, the mnemonic as equivalent of Fed funds and more or less. And so what this is showing is what the market is pricing relative to what the Federal Reserve wants or aims in terms of Fed funds rates. Now, I put on that chart a sort of corridor.

a great corridor, which you can argue is sort of a normal zone for this spread. And it's always slightly negative. And that's because SOFA rates are collateralized rates. What you can see on the chart around the end of 2025 is a significant jump or blowout in the spread, which takes us above what I've

indicated there is the danger zone. Now, that's suggesting that you get a breakdown in funding conditions that coincided with a lot of trade fails. in terms of inability to deliver securities in bond markets. So there were clearly tensions that were going on. And the Federal Reserve reacted very quickly to that. The target level for bank reserves is around 3 trillion. So the Federal Reserve is basically targeting something like 3 trillion for bank reserves. And the orange line is therefore monitoring or telling us how much there is a surplus or a shortfall against that level.

And what you can see is around September, October of last year, there became a very big shortfall. Now, that was a time when the Federal Reserve was talking boldly about shrinking its balance sheet and seasonal movements in terms of Treasury General Account, various other things, basically meant that they could allow bank reserves to drop money market liquidity to shrink by this magnitude. And it was down about 400 billion relative to benchmark levels. Now, what that then caused was big spikes in repo rates. And as you can see, what I've done is to plot the repo spread again, inverted on that right scale. And then what you see is the development of a new policy, which was QE by another name, which was called RMP. So the Fed's acronym department was working late into the night. And that was basically referring to reserve management purchases.

and the RMP program basically restored Fed liquidity to those levels or bank reserves to those levels that you see. And you can more or less identify through this year, the very small fluctuations. Now, if you go back over the last four years, the average deviation away from the target level, the minimum level of bank reserves that I identify, is around 300 billion. on average. So there are some big fluctuations. In the last nine months, those average fluctuations have fallen significantly to under 90 billion. So it looks like this is on a weekly basis. So what you can see there is, I think, a deliberate attempt to try and target banks reserves. Now, what this is really telling us is this is money market liquidity. So they're saying what they want is stable money markets. And they're making sure that there is an ample bank reserve regime. And I think what we're moving to is our managed framework. And the other side of that is looking at this chart, which is move volatility. And I would argue this is what the Treasury is focused on very clearly, is what they really want is a stable funding environment because

they've got a role, ultimately or refinance, ultimately 40 trillion and outstanding debt, obviously not at once, but the burdens are clearly growing, and you're looking at very, very big weekly auctions potentially upcoming. Now, what this is telling us is the volatility across the yield curve or term structure in the US. And the move index is basically rather like the VIX index for equities. But this is measuring bond market volatility. And what I try and show there is it seems to be a deliberate attempt to move that to move index, so to speak.

back into its normal zone. And the Treasury does that through a variety of mechanisms, one being increased issuance of bills. So they're starving the market of coupon issuance. And the second thing is to do these Treasury buybacks. Now, my interpretation of the Treasury buyback program is it's nothing to do with trying to get yields down or certainly not directly. I don't think Scott Besant being an experienced market operator would be as naive as to think that he could get away with that. What he's actually trying to do is to reduce volatility in the system. He's doing that often quite successfully, managing to buy in some cases, you know, retire off the run bonds at 60 cents in the dollar, which is a great win for US taxpayers. So I think that, you know, he comes into a lot of bad press, but I think ultimately what's going on here is a very sensible policy. They're capping volatility in the market. These are the key collateral markets, and they're basically giving the system, what liquidity they need in the repo markets. And if you've got a repo collateral system that is the heart of financing, that's exactly what you need to do. And so what I would argue is that beneath the surface, there's a much more subtle policy that is going on at the Federal Reserve. And Kevin Warsh, basically, I think was trying to say that in the meeting yesterday.

He wasn't particularly clear, but I think that goes back to the famous Greenspan line of whenever that was with 87 when he said, you know, if I seem unduly clear, you must have misunderstood what I was saying. And I think that you can attribute that to maybe Kevin Walsh yesterday because it wasn't entirely clear. But I think really between the lines, he's talking about this sort of new monetary medicine that has been administered. And I think that's basically this sort of three-legged stool. You set policy rates. You target money market liquidity and you try and reduce bond market volatility I think all those three factors are key measures of what the Fed strike

Treasury are really trying to do in the markets So we'll get into the Treasury in a moment, but just sticking with the Fed. How have you interpreted the reserve management purchases from the Fed, which I believe were at 40 billion. And then they said 25 billion, 10 billion, like injecting new liquidity in the markets to prevent the stress that you were referencing. And now I don't think they're doing anything. So what's your current read of current Fed liquidity? And why is it that the market needed 40 billion per month a year ago, but now the market's fine with zero? Well, a lot of it was broadly seasonal, I mean, it's R&P have picked up a little bit since again, but you know, I would imagine that that's going to be something that would change in tempo. And if there are shortages, I mean, let's see what they do. But my contention would be is they've got certainly one eye on the stability of the repo markets. And they don't want another event like late 25. And everything I see them doing is actually trying to manage stability in those markets.

And those are really key for not just refinancing the debt, but also underpinning the program that I've tried to explain through this term, Treasury QE. And I think that what you've got is a deliberate shift from what people would have previously characterized as Fed QE, which is an abundant regime in the banks, where the Federal Reserve just basically pumps QE into the system, to shift away from that, which was an abundant reserve backdrop to what you make all a more subtle ample reserve framework where they're giving enough liquidity to the financial markets, not a lot more. They're keeping things stable. But that stability lends itself to this additional program, which is clearly fueling federal debt, which is Treasury QE. And this really fits in with the idea that Besson said Wall Street had its sort of day in the sun. It's now Main Street's turn. We want to try and boost Main Street.

And what you've seen is a very significant increase in what I call a Treasury QE. For the record, this is looking at the impulse that is coming from either the Federal Reserve or the Treasury through these various mechanisms. Now Treasury QE is basically the liquidity equivalent effect of changing the mix of debt that is being issued by the Treasury. And the reason that that is an important factor to think about is that liquidity is broadly equal to assets divided by their average duration. So if you think about what the treasure is

doing, it's first of all increasing private sector assets by issuing debt to the private sector. But what's more is issuing that debt at much, much shorter maturities. So what you've got is the ratio of assets in the private sector to average duration, basically rising quite strongly. And that's the equivalent of a liquidity impulse. So what I've shown on this chart is conventional Fed QE, which is clearly by definition a straight liquidity injection into the private sector. I've split that Fed QE into conventional, which is balance sheet expansion. What I also term not QE QE, which is sort of a more subtle thing of saying there are various programs on the Fed balance sheet.

that are more liquidity-creating than others, so let's separate those out. And then the Treasury QE, which is changing the mix of issuance, which is the black line. And if you look at those scale, those programs, what you can see is that basically the Fed QE becomes de minimis over time. And in looking into 27, it basically almost disappears, but it's still there, but in small size. Whereas Treasury QE becomes the dominant part. And it's that which is really driving the real economy and explaining, in many cases, why you've got very strong nominal growth in US GDP right now. And so what you call Treasury QE is the Treasury issuing shorter term debt, Treasury bills rather than Treasury notes, coupons longer term debt, or a higher ratio of shorter term debt. Correct. Tell us exactly what Besant has done and what the numbers indicate there as well as his willingness to continue doing this policy? Well, I think that my view would be that what they're trying to do here, and this clearly flies in the face of Scott Besson's original criticism of Janet Yellen two or three years ago when she was doing it, he's copying the policy, not least because he can and not least because it's quite effective. And by the way, other governments are also following this model as well of doing a lot of issues at the front end.

Now basically if you put that down you try and explain what that means in sort of hard numbers currently bills treasury bills.